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China Insurance

Summer Series: Market polarization risk rising as smaller players face capital pressure

In this note, we analyze 163 insurers, comprising 75 life and 88 non-life companies, with a focus on solvency capital, risk management and shareholder returns. Since 2005, the number of insurance legal entities has more than doubled, from 97 in Dec-05 to 238 in Jun-25, including 13 insurance groups, 75 life insurers, 88 non-life insurers, 7 reinsurers, 9 pension insurers, 7 health insurers, and 39 policy insurers and asset management arms. However, total insurance premium, across life and non-life combined, has grown only modestly, while insurance penetration improved to 4.4% in 2025 from 3.5% in 2015. Our initial view is that market polarization across both life and non-life insurance is likely to accelerate, particularly among small insurers that require repeated capital injections. This should widen the investment distinction between scale leaders and capital-constrained smaller players. Within our SMid insurance coverage, we see **China Taiping** and **China Re** as potential beneficiaries of industry restructuring. In the regional banking sector, we see a similar debate emerging, and **Bank of Ningbo** is our preferred name with better growth potential.

- **Market structure.** China's insurance is an oligopolistic market at the top but fragmented below, with top 5 insurers holding 45%/68% of life/non-life premiums. While GDP per capita above US\$10,000 supports the long-term penetration story, insurance remains highly capital intensive, requiring upfront spending on distribution, customer acquisition, claims infrastructure and risk management. Ongoing bancassurance channel reforms disproportionately favor large-cap insurers with better client access, hindering SMid insurers from generating organic earnings. Scale, therefore, becomes the key differentiator, raising the question of how many players may survive in the foreseeable future.
- **Life insurers.** The overview of 75 life insurers shows a widening gap between large caps and SMids in capital efficiency, core solvency buffers and regulatory risk ratings. Listed insurers continue to maintain core solvency >100%, while 17 unlisted insurers are below 100%, including 4 insurers <70% (vs. min.: 50%), the threshold that might potentially trigger capital calls. Many SMid life insurers face weaker brand recognition, sluggish new sales growth and rising capital risks. For most, market capital appears reluctant to flow into small players on a sustainable basis, exerting further pressure for business model retrenchment, as weak returns fail to cover long-term capital costs. We expect them to gradually cede market share amid intensifying structural competition.
- **Non-life insurers.** Our review of 88 non-life insurers points to intensifying competition, particularly in auto insurance, where pricing pressure continues to weigh on underwriting profitability. Roughly 55% of non-life insurers reported underwriting losses in 2025. Only seven non-life insurers sustained their Mar-26 core solvency below 150%, vs. 180% across the top 5 non-life insurers. We believe large non-life insurers benefit from claims scale, data, reinsurance access and diversified risk pools, while SMid players remain exposed to narrow regional lines, single-product segments, catastrophe losses and cyclical pricing pressure.
- **Regional banks.** A similar split is unfolding in the regional banking sector, as consolidation thins out SMid players with weak capital, asset quality and operating efficiencies, while quality franchises with credit growth compound.

Insurance

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Investment thesis

China's insurance sector has benefited from structurally supportive regulatory policies. The central government rolled out a suite of supportive measures lowering entry barriers for insurance participants. After 2005, the number of licensed insurance legal entities rose materially, from 97 (Dec-2005), peaking at 240 (Dec-2019), and then edging down slightly to 238 (Jun-2025). The sector comprises 13 insurance groups, 75 life insurers, 88 non-life insurers, 7 reinsurers, 9 pension insurers, 7 health insurers and 39 policy-focused insurers and asset management arms.

We divide China's insurance sector development into two phases. The expansion phase spanned 2005–2019, underpinned by liberalized licensing rules designed to expand insurance supply to meet rising consumption demand. This trend was reflected in industry premiums, where combined life and non-life premiums recorded a 17% CAGR over this period. The subsequent phase (2020–2025) prioritized high-quality development over scale expansion. Regulators pushed insurers to strengthen underwriting discipline and build capacity to manage macro and micro risks, supporting sustainable competitiveness against global peers. Authorities also relaxed FDI restrictions in phases, starting with life insurers in 2020, lifting foreign ownership caps gradually to 100% from the previous 51% ([link](#)). To compete in an open landscape, domestic insurers need to upgrade risk management frameworks. Policymakers now permit greater foreign participation via wholly-owned subsidiaries or joint ventures. Even so, total insurance premiums (life + non-life), a proxy for market size, have delivered just a 6% CAGR over the past five years, pushing up the insurance penetration (= premium over GDP) to 4.4% of GDP in 2025, versus 3.5% in 2015.

China's insurance market operates under an oligopolistic structure: the top five players have captured 45% and 68% market share within life and non-life segments, respectively. Our analysis covers 163 insurers (75 life and 88 non-life), focusing on solvency capital, risk management practices and shareholder return potential. While all large non-life insurers maintain core solvency ratios above 100%, 28% of life insurers reported core solvency below 100% as of Mar-26, signaling weaker capital adequacy to absorb risks. From an equity investor standpoint, this weighs on expectations for sustainable excess capital distributions to shareholders. By contrast, large-cap insurers consistently maintain solvency above 120% with a track record of steady dividend distribution.

In short, we expect market polarization to widen between large-cap and small-medium cap insurers over the medium term. Key drivers include capital constraints, uneven channel access and asymmetric macro risk resilience. Our initial view is that polarization across life and non-life segments will intensify, as market capital appears reluctant to flow into small players on a sustainable basis, given weak returns fail to cover long-term capital costs, especially amid risks of recurring capital calls. As a result, we expect SMid insurers to gradually cede market share amid intensifying structural competition.

Positioning (Insurance): Within our SMid Insurance coverage, **China Taiping and China Re** look well positioned to emerge as winners amid rising market concentration. Hampered by thin capital buffers, limited distribution reach and sluggish internal earnings, many SMid insurers face a sustained risk of losing market share. Distribution reforms channel high-quality resources toward established industry players. Supported

by mature participating insurance operations and balanced capital allocation, Taiping stands to capture organically migrating business flows, independent of M&A activity.

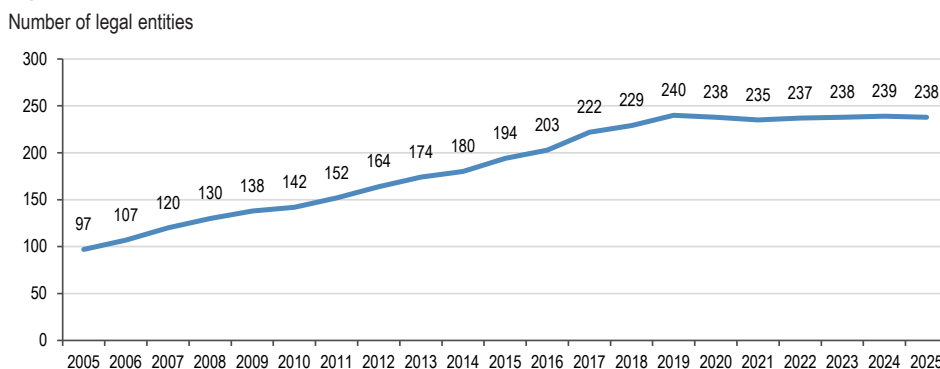
For China Re, capital pressure pushes SMid insurers to explore capital supplementation avenues. Given limited internal capital generation and higher costs for external capital raising, financial reinsurance emerges as a viable tool to ease solvency strains. Even as regulators tighten the rules that govern financial reinsurance, such instruments will gradually lift reinsurance coverage demand for primary insurers with thin solvency buffers, driving market share gains amid broader industry polarization.

We see a similar debate and set of observations in the China's regional banking sector. Following a decade of license-driven expansion, regulators have pivoted decisively from scale growth towards risk resolution and 'reduce quantity, improve quality' since 2020, catalyzed by Baoshang Bank's failure. The consolidation has been most pronounced among village banks. According to a media report ([link](#)), in 2025, 310 village banks completed merger-driven restructuring or dissolution, and 134 village banks have exited, as of 9 July 2026.

NFRA data suggest there are 124 city commercial banks and 3,381 rural financial institutions as of 1H25. In aggregate, they represent 27% of banking system assets as of 1H26, which we believe are the weaker link in the banking system, as they carry higher NPL ratios, lower provision coverage, weaker ROA and capital ratios relative to larger peers (Table 2).

Positioning (Banks): Although our coverage is concentrated in leading regional banks that carry lower risks and higher operating efficiencies, investors remain cautious about the vulnerabilities that characterize the SMid players across the sector – less stable EPS growth, thinner capital buffer and consequently lower dividend visibility. As a result, among regional banks, the market ascribes a dividend-reliability discount to high-yield SMid banks, favoring those whose valuations are underpinned by credible growth stories. We prefer **Bank of Ningbo** among our regional banks on the back of its fee growth potential in FY26 and stable asset quality.

Figure 1: China – time series data for licensed insurers



Source: National Financial Regulatory Administration (NFRA), Statistics Bureau of China. The number of licensed insurers from 2005 to 2018 is based on each year's China statistics book published by the Statistics Bureau of China, while data from 2019 to 2025 are based on the full list of financial institution legal entities disclosed by NFRA for each year. These data are as of each fiscal year end. The total number of insurer legal entities includes insurance groups, P&C insurers, life insurers, health insurers, pension insurers, reinsurers, asset management companies, policy insurers, and mutual insurance corporations.

Table 1: China – license insurers tracked over the past six years

Number of legal entities

	Dec-19	Dec-20	Dec-21	Dec-22	Dec-23	Dec-24	Jun-25
Insurance Group/Holding co.	14	14	13	13	13	13	13
P&C insurers	88	87	87	88	88	89	88
Life Insurers	81	75	75	75	75	75	75
Pension insurers	8	9	9	10	9	9	9
Health Insurers	7	7	7	7	7	7	7
Reinsurers	12	14	7	7	7	7	7
Insurance asset management	26	28	33	33	35	35	35
Policy insurers	1	1	1	1	1	1	1
Mutual insurance corporation	3	3	3	3	3	3	3
Total	240	238	235	237	238	239	238

Source: NFRA. Data from 2019 to 2025 is based on the full list of financial institution legal entities disclosed by NFRA for each year.

Table 2: Overview and key ratios of China banking system by institutional type

	Number of institutions in 1H25	as % of banking system in 1H26			Key ratios in 1Q26				
		Assets	Liabilities	Equities	CAR	NPL ratio	NPL coverage	ROA	NIM
SOE banks	6	44%	44%	41%	17.54%	1.22%	240.70%	0.60%	1.29%
Joint-stock banks	12	16%	16%	17%	13.14%	1.22%	204.60%	0.74%	1.54%
City commercial banks	124	14%	14%	12%	12.09%	1.85%	171.20%	0.57%	1.38%
Rural Fis	3,381	13%	13%	11%	12.85%	2.79%	156.90%	0.45%	1.58%
Others*	547	13%	13%	19%					
Total banking system	4,070	100%	100%	100%	15.00%	1.51%	203.10%	0.60%	1.40%

Source: NFRA [1H25's list of legal persons of financial institutions in the banking industry ([link](#)); Table of Main Indicators of Commercial Banks ([link](#))], People's Bank of China (PBOC), CEIC [banking asset/liability data accessed from the CEIC web site on 27 July 2026; the CEIC shows the original source as being the PBOC]. *Others includes policy banks, China Development Bank, private banks, foreign banks, non-bank financial institutions, financial asset investment corps, and wealth management companies; the number of institutions data is as of end-1H25.

Oligopolistic market at the top but fragmented below

China's aggregate insurance premium reached Rmb6.1T, or US\$870B, in 2025, representing more than threefold growth since 2005. The market is characterized by an oligopolistic structure among leading players, alongside significant fragmentation among smaller participants. As of 2025, the top five insurers accounted for 45% of life insurance premiums and 68% of non-life premiums.

Market share trends have diverged sharply across segments. In life insurance, the combined share of the top five insurers gradually declined from 51.7% in 2021 to 45.3% in 2025, while the top five non-life insurers maintained a stable share of around 68% over the same period. Notably, the number of licensed life insurers has stabilized at 75 over the past five years. This suggests that the gradual erosion of large life insurers' market share is more likely attributable to intensified competition from existing small and mid-sized participants. Supported by the industry shift towards participating products, many small and mid-sized life insurers achieved short-term premium expansion, although this growth carries material capital consumption risks.

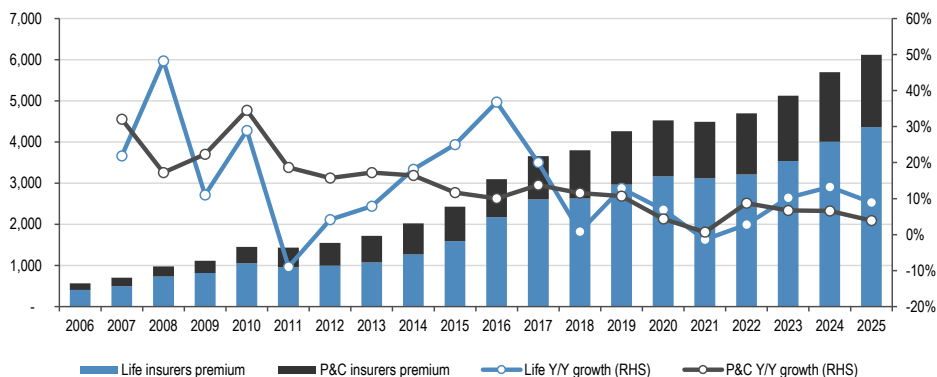
Data from the National Financial Regulatory Administration (NFRA) show that the total number of licensed insurance legal entities edged down modestly from 240 at end-2019 to 238 in June 2025. After years of rapid expansion, regulators have shifted towards stricter oversight, while new license growth has plateaued. Although per capita GDP above US\$10,000 supports the long-term upside for insurance penetration, the sector remains highly capital-intensive. Insurers face substantial upfront costs across distribution networks, customer acquisition, digital infrastructure, claims servicing and risk management frameworks.

In line with other developed markets, China's life insurance business relies heavily on agency and bancassurance channels, with in-person engagement supporting stable policy conversion. The agency channel is generally less favorable for small and mid-sized insurers, which lack scale and experienced sales force. Historically, smaller insurers have prioritized bancassurance to generate new business, leveraging attractive bank commission rates. Ongoing bancassurance reforms, however, are weakening this traditional advantage and widening the structural divergence across participants. With caps now imposed on bank commission fees, competition has shifted towards product differentiation and service quality, rather than channel remuneration. Banks are increasingly incentivized to apply stricter counterparty selection, disproportionately favoring large-cap insurers with stronger brand recognition and broader customer reach over small and mid-sized peers.

Agency channels have also become increasingly competitive, leaving limited scope for small and mid-sized carriers to scale sustainable new business. As a result, scale advantage should emerge as the key competitive differentiator. We expect persistent competitive pressure, capital constraints and fragile new-business momentum to accelerate structural reshuffling across both life and non-life insurance segments over the medium term.

Figure 2: China Insurance – life insurers and P&C insurers' premium trend

Rmb in billions, %



Source: NFRA. Data as of 23 July 2026. Note: Life and P&C insurers' premiums represent the combined written premium of life insurer companies and non-life insurer companies, disclosed by NFRA on an annual basis.

Table 3: China Life Insurers – market shares of the top 5 players vs. the rest

%, %p

	2021	2022	2023	2024	2025	%Change
China Life	19.90%	19.20%	18.10%	16.80%	16.70%	0.0%p
PingAn Life	14.60%	13.70%	13.20%	12.60%	12.70%	0.1%p
CPIC Life	6.70%	6.90%	6.60%	6.00%	5.90%	0.0%p
New China Life	5.20%	5.10%	4.70%	4.30%	4.50%	0.2%p
Taikang Life	5.30%	5.30%	5.70%	5.70%	5.50%	-0.2%p
Top 5 Life Insurers	51.70%	50.20%	48.30%	45.20%	45.30%	0.0%p
Rest	48.30%	49.80%	51.70%	54.80%	54.70%	0.0%p

Source: NFRA and each individual insurer's annual report from 2021 to 2025. Note: Market shares are calculated based on individual insurer gross written premium as a percentage of life insurer companies' consolidated written premium, as disclosed by the NFRA.

Table 4: China Non-Life Insurers – market shares of the top 5 insurers vs. the rest

%, %p

	2021	2022	2023	2024	2025	%Change
PICC P&C	32.80%	32.70%	32.50%	31.80%	31.60%	-0.2%p
PingAn P&C	19.70%	20.00%	19.00%	19.00%	19.50%	0.5%p
CPIC Property	6.70%	6.60%	6.70%	6.60%	6.40%	-0.2%p
China Life P&C	6.70%	6.60%	6.70%	6.60%	6.40%	-0.2%p
China United	4.10%	4.10%	4.10%	4.00%	4.00%	0.0%p
Top 5 Non-Life Insurers	70.00%	70.00%	69.10%	68.00%	68.00%	0.0%p
Rest	30.00%	30.00%	30.90%	32.00%	32.00%	0.0%p

Source: NFRA and each individual insurer's annual report from 2021 to 2025. Note: Market shares are calculated based on individual insurer gross written premium as a percentage of non-life insurer companies' consolidated written premium, as disclosed by the NFRA.

Macro headwinds raise solvency risk

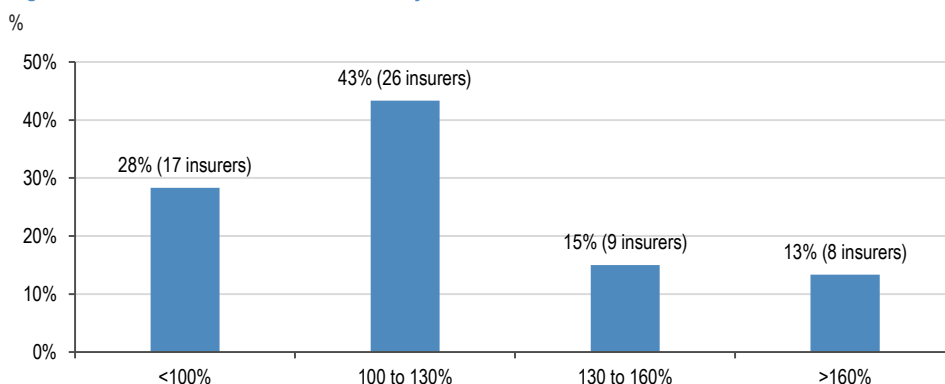
As of Jun-25, China had 75 licensed life insurers and 88 non-life insurers. We assess solvency profiles based on the latest individual regulatory disclosures, noting that not all insurers have published solvency data through Mar-26. Our sample covers 60 life insurers and 86 non-life insurers that have released quarterly reports.

All listed life insurers have sustained their core solvency ratio above 100%. Even so, around 28% of the sampled life insurers, or 17 unlisted companies, are operating with a core solvency ratio below 100%. This includes four unlisted insurers with ratios below 70%, versus the minimum regulatory requirement of 50%. Non-life insurers have generally maintained stronger capital buffers than life peers. As at Mar-26, only seven non-life insurers recorded core solvency ratios below 150%, compared with an average of 180% among the top five non-life insurers.

Insurance is a capital-intensive sector, with new business expansion continuously consuming capital. Although the life sub-sector has shifted towards less interest-rate-sensitive participating products, life insurers with a weak capitalization, especially the small and mid-sized players, face mounting pressure to fund the capital outlay required for growth. This could trigger near-term capital calls. Similarly, non-life insurers face intensifying competition, particularly in auto insurance, where persistent pricing pressure is weighing on underwriting profitability. Organic earnings are likely to struggle to generate meaningful capital replenishment, as reflected in the fact that around 55% of the non-life insurers reported underwriting losses in 2025.

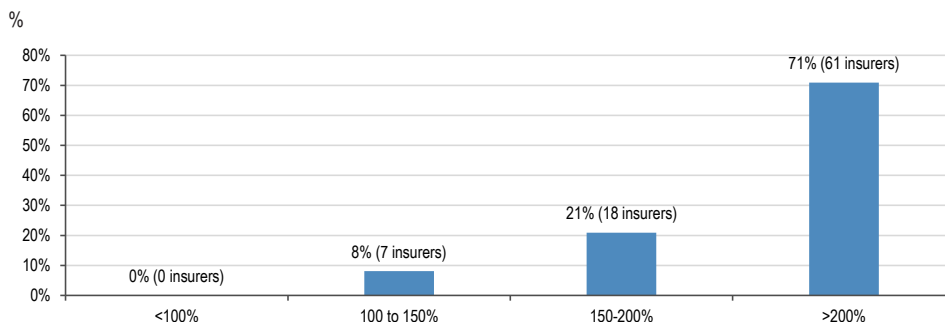
Large non-life insurers look better positioned to benefit from scale advantages, robust data infrastructure, reinsurance access and diversified risk pools, supported by solid solvency positions. By contrast, small and mid-sized insurers remain exposed to more concentrated business portfolios. Given their limited capital buffers, they may be forced to narrow their product ranges and scale back reinsurance coverage in response to unexpected catastrophe events and cyclical pricing headwinds.

Figure 3: China life insurers – core solvency ratio distribution



Source: Insurance Association of China. Note: All solvency data are as of Mar-26. Among 75 life insurers, a total of 60 insurers had solvency disclosures in their respective 1Q26 solvency report whilst the remaining insurers have not updated their solvency report since 2025 or earlier.

Figure 4: China non-life insurers – core solvency ratio distribution



Source: Insurance Association of China. Note: All solvency data are as of Mar-26. Among 88 non-life insurers, a total of 86 had solvency disclosures in their respective 1Q26 solvency report whilst the remaining have not updated their solvency report since 2025 or earlier.

Risk management score and insurance risk rating

We have illustrated the divergence in core solvency ratios between large and small and mid-sized insurers. That said, we believe core solvency adequacy on a standalone basis is insufficient to evaluate an insurer's overall solvency profile. A comprehensive assessment of sustainable operational resilience requires supplementary indicators, most notably the SARMRA score and Insurance Risk Rating, or IRR, under China's C-ROSS Phase II solvency regime.

SARMRA, Solvency Aligned Risk Management Requirements and Assessment

SARMRA is a qualitative Pillar 2 supervisory assessment, scored out of 100 and conducted by regulators on a rolling cycle. It evaluates an insurer's enterprise-wide risk management framework across insurance, market, credit, operational, liquidity, strategic and reputational risks. It also assesses both the completeness of risk policies and the effectiveness of implementation.

The score has tangible capital implications. Weaker SARMRA outcomes increase the minimum required capital for operational risk. In other words, lower SARMRA scores raise capital charges and increase capital consumption for new business expansion. While solvency ratios reflect static capital buffers, SARMRA captures the sustainability of an insurer's risk governance framework.

The key threshold is 80 out of 100. Scores above 80 can reduce minimum capital requirements for operational risk and improve capital efficiency. Conversely, a score below 80 triggers higher capital surcharges. Large insurers generally report SARMRA scores above 80, whereas many smaller carriers record scores between 70 and 80. Insurers scoring below 70 typically show substantial deficiencies in risk governance.

Based on disclosed SARMRA filings from 60 life insurers and 79 non-life insurers, around 12%, or 16 insurers, recorded scores below 70, while a further 24%, or 34 insurers, fell within the 70 to 75 range. Within our coverage universe, major large-cap insurers consistently maintain SARMRA scores above 80, signaling robust risk management capabilities.

Many small and mid-sized insurers operate with limited risk infrastructure. Low SARMRA scores exacerbate capital pressure amid the rapid expansion of capital-heavy participating policies, reinforcing the link between business growth, capital depletion and constrained shareholder returns.

Table 5: China Insurers – SARMRA scores

Out of 100

Score	Number of Life insurers	% Weight	Number of Non-Life insurers	% Weight	Combined	% Weight
>=85	0	0%	3	4%	3	2%
80-85	23	38%	14	18%	37	27%
75-80	22	37%	27	34%	49	35%
70-75	9	15%	25	32%	34	24%
<70	6	10%	10	13%	16	12%
Total	60	100%	79	100%	139	100%

Source: Insurance Association of China. Note: All SARMRA scores are from the individual insurer's 1Q26 solvency report. Among 75 life insurers, a total of 60 insurers had SARMRA score disclosure in their respective 1Q26 solvency report whilst the remaining insurers have not updated their solvency report since 2025 or earlier. Among 88 non-life insurers, a total of 79 had SARMRA score disclosure in their respective 1Q26 solvency report whilst the remaining have not updated their solvency report since 2025 or earlier.

Insurance Risk Rating

The Insurance Risk Rating, or IRR, is a quarterly holistic risk classification system with eight tiers ranging from AAA to D, namely AAA, AA, A, BBB, BB, B, C and D. It enables differentiated regulatory oversight by integrating core and comprehensive solvency ratios, SARMRA scores, corporate governance, liquidity status, compliance records and latent operational risks to assess an insurer's overall solvency risk. Regulators impose strict corrective actions on insurers rated C or D, including restrictions on new business, distribution and investment activities.

IRR addresses the limitations of standalone solvency metrics. Some insurers may report adequate capital ratios, yet still face hidden governance or liquidity risks, which the IRR framework is designed to capture. Persistent IRR downgrades serve as an early warning signal of stress and may trigger shareholder restructuring or accelerate market polarization.

Within our sample of 60 life insurers and 85 non-life insurers, all large listed players under our coverage have an IRR rating of BB or above. By contrast, one life insurer and three non-life insurers carry a C rating, indicating the need for urgent regulatory intervention to contain solvency risks.

This multi-dimensional risk management toolkit provides critical insights for equity investors. SARMRA reflects internal risk governance capabilities, while IRR provides a consolidated and holistic risk assessment. Assessing insurers purely by solvency ratios therefore gives an incomplete view. A thorough evaluation requires a three-pillar lens: solvency ratios, SARMRA scores and IRR results. Against this backdrop, many smaller insurers face sustained existential pressure over the medium term, constrained by weak risk controls, volatile IRR profiles and only marginal solvency buffers.

Table 6: China Insurers – Insurance Risk Rating (IRR)

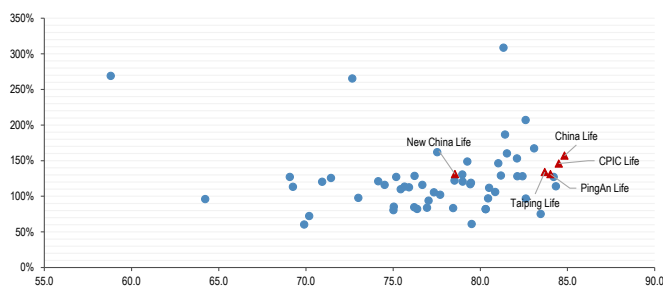
IRR rating

Ratings	Number of Life insurers	% Weight	Number of Non-Life insurers	% Weight	Combined	% Weight
AAA	5	8%	6	7%	11	8%
AA	12	20%	13	15%	25	17%
A	6	10%	10	12%	16	11%
BBB	10	17%	14	16%	24	17%
BB	17	28%	22	26%	39	27%
B	9	15%	17	20%	26	18%
C	1	2%	3	4%	4	3%
D	0	0%	0	0%	0	0%
Total	60	100%	85	100%	145	100%

Source: Insurance Association of China. Note: All Insurance Risk ratings are as of 3Q25 or 2Q25, as disclosed in individual insurers' 1Q26 solvency reports. Among 75 life insurers, a total of 60 insurers have the IRR disclosure in their respective 1Q26 solvency report whilst the remaining have not updated their solvency report since 2025 or earlier. Among 88 non-life insurers, a total of 85 have the IRR disclosure in their respective 1Q26 solvency report whilst the remaining insurers have not updated their solvency report since 2025 or earlier.

Figure 5: China life insurers – pilot chart on core solvency vs. SARMRA score

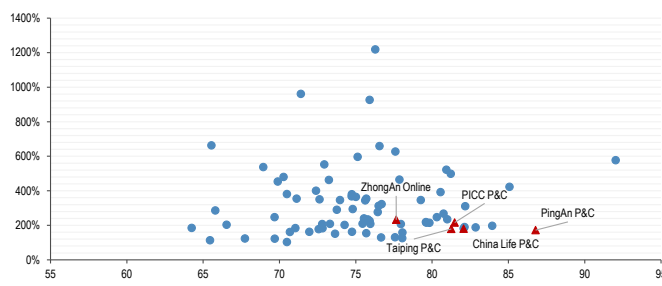
x-axis is SARMRA score, y-axis is Mar-26 core solvency ratio



Source: Insurance Association of China. Each individual insurer's 1Q26 solvency report.

Figure 6: China non-life insurers – pilot chart on core solvency vs. SARMRA score

x-axis is SARMRA score, y-axis is Mar-26 core solvency ratio



Source: Insurance Association of China. Each individual insurer's 1Q26 solvency report.

Capital constraints deepen the divide between scale leaders and SMid insurers

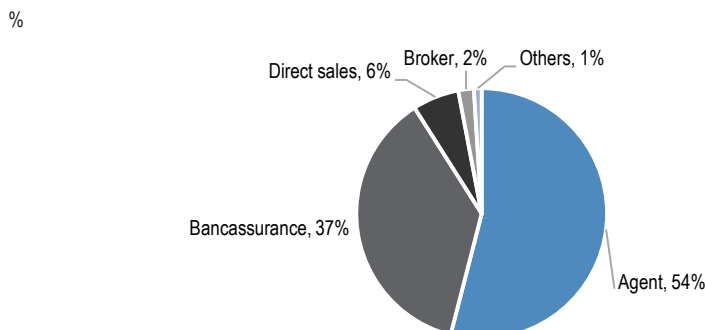
Small insurers exhibit limited capital buffers, reflected in weaker core solvency adequacy ratios, lower SARMRA scores and weaker Insurance Risk Ratings. The shift towards participating insurance products, together with rising demand for protection-focused coverage, makes the sector inherently capital-intensive. Against this backdrop, we believe small life insurers lack sufficient capital capacity to scale new business. Less well-capitalized non-life insurers may also need to curb growth or streamline business lines to preserve capital.

Capital constraints are compounded by structural headwinds in distribution. According to the China Insurance Yearbook 2024, brokers and intermediaries contribute only around 7% of life premiums, while agents and bancassurance account for 93%. This suggests that China's life insurance distribution remains structurally dependent on traditional agency and bancassurance channels. Life insurance remains people-driven, yet small and mid-sized players typically operate smaller and less experienced agency teams, while relying more heavily on bancassurance.

These dynamics are fueling pronounced market polarization. Large insurers are better positioned to capture greater market share, while small and mid-sized players face gradual share erosion as business expansion falls short of expectations. Insurers' net profits are generated from underwriting and investment returns. For smaller players, stalled business growth restricts endogenous earnings generation on the underwriting side. Separately, solvency constraints limit aggressive capital deployment. Without sufficient premium inflow on the liability side, they cannot achieve meaningful expansion on the asset investment side.

Ultimately, small and mid-sized insurers may become trapped in a negative loop: they cannot generate adequate internal earnings to fund business expansion, while insufficient business growth, in turn, limits organic capital creation.

Figure 7: China Insurance – life insurers' premium breakdown by distribution channel (2024)



Source: China Insurance Yearbook, 2024.

Shareholder return visibility

Shareholder returns are a core metric for equity investors evaluating China's insurance sector. An insurer's capacity to deliver sustainable shareholder returns is fundamentally constrained by two critical factors: solvency position and the ability to generate organic earnings, both of which we have outlined earlier.

These constraints weigh heavily on small and mid-sized insurers from multiple angles. First, persistent capital pressure forces most small and mid-sized carriers to retain nearly all generated profits to strengthen solvency buffers, leaving limited cash available for shareholder distributions. Second, unlike large listed insurance groups, which typically have transparent and consistent dividend frameworks, alongside regular public disclosure, most small and mid-sized insurers offer limited visibility on capital plans and profit allocation policies. Many are unlisted entities with no mandatory requirement to publish dividend schedules, creating greater uncertainty for external investors.

By contrast, large-cap insurers maintain stable capital buffers, scalable business models and more predictable dividend payout strategies. They are better placed to balance capital retention for growth with cash returns to shareholders.

From an investment perspective, this divergence creates a clear valuation gap. While large insurers offer visible shareholder return pathways, the ambiguous dividend outlook and limited disclosure among small and mid-sized insurers add an additional risk premium. Taken together, weaker capital buffers, sluggish endogenous earnings growth and opaque shareholder return profiles reduce the investment appeal of smaller insurers, accelerating industry polarization and consolidation over the medium term.

Table 7: China Insurance – shareholder return policy summary

Company	Mid-to-long-term capital management guidance
China Life	China Life announced an interim dividend of Rmb0.238 and a final total dividend of Rmb0.86, implying 16%/18% payout ratio in 2025.
Ping An Group	In 2024-2026, the company's annual distributable profit in each profitable year will be positive. In compliance with the solvency adequacy ratio requirements of the national laws and regulations, the company's annual dividend amount will be 20-50% of the audited net profit attributable to the parent. Ping An Group has also historically paid out interim dividend. The company has grown cash dividends for 14 consecutive years.
CPIC	CPIC affirmed its intention to introduce interim dividend commencing in 2026. The company determines interim and final dividend based on OPAT and investment performance. As per management, the initial payout ratio is expected to be set prudently, reflecting management's focus on sustaining both the flexibility and long-term credibility of the dividend policy.
PICC Group	PICC Group announced an interim dividend of Rmb0.075 and a final total dividend of Rmb0.22, implying 13%/21% payout ratio in 2025.
New China Life	NCL has proposed an interim dividend of Rmb0.67 and a final total dividend of Rmb2.73, implying 14%/23% payout ratio in 2025.
PICC P&C	PICC P&C announced an interim dividend of Rmb0.24 and a final total dividend of Rmb0.68, implying 22%/37% payout ratio in 2025.

Source: Each insurer's 2025 annual report and presentation.

Companies Discussed in This Report (all prices in this report as of market close on 28 July 2026, unless otherwise indicated)
Bank of Ningbo - A(002142.SZ/Rmb31.82/OW), China Reinsurance Group - H(1508.HK/HK\$1.37/N), China Taiping Insurance - H(0966.HK/HK\$22.00/OW)

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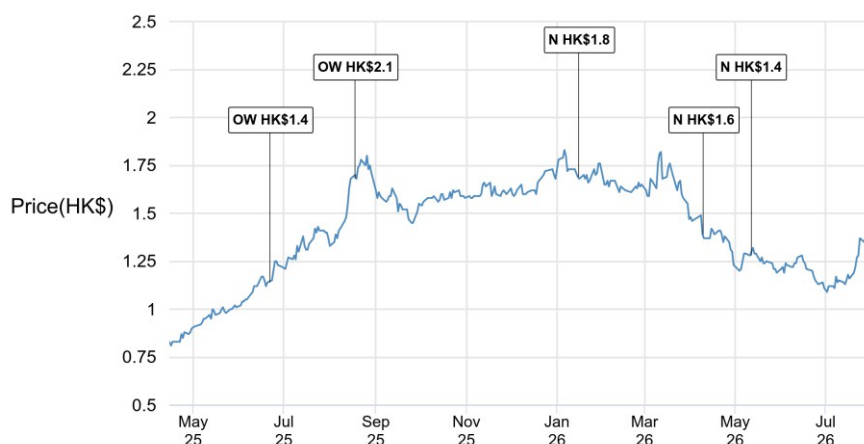
Bank of Ningbo - A (002142.SZ, 002142 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
10-Oct-23	OW	27.13	37.9
05-Jun-24	OW	24.21	30
24-Mar-25	OW	25.99	33.8
21-Apr-25	OW	24.60	32
10-Sep-25	OW	29.31	36.2
09-Dec-25	OW	28.18	35.8
23-Jan-26	OW	29.50	38.2
19-May-26	OW	31.08	38.8

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Mar 23, 2020. All share prices are as of market close on the previous business day.

China Reinsurance Group - H (1508.HK, 1508 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
22-Jun-25	OW	1.14	1.4
18-Aug-25	OW	1.68	2.1
16-Jan-26	N	1.69	1.8
10-Apr-26	N	1.39	1.6
12-May-26	N	1.28	1.4

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jun 22, 2025. All share prices are as of market close on the previous business day.

China Taiping Insurance - H (0966.HK, 966 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
22-Jun-25	UW	14.14	8.2
23-Sep-25	UW	15.12	9.4
16-Jan-26	OW	20.84	30

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jun 18, 2010. All share prices are as of market close on the previous business day. Break in coverage May 30, 2019 - Jun 22, 2025.

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